

Equivalent Citations

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K.Mohan Kumar S/o S.Krishnappa v. The Oriental Insurance Company Ltd

District Consumer Disputes Redressal Commission (Jun 24, 2010)

CASE NO.

CC/09/2128

JUDGES

JUDGMENT

against the Op in brief is that he is the registered owner of Motor Cycle which was insured with Op on 30/10/2008 and insurance was valid till 29/10/2009. That on 25/03/2008 (which is wrongly given the *theft* date which ought to have been 25/03/2009 at about 9.00 AM) That he had parked his *bike* at V.V. Puram Science College parking stand by locking its handle lock and had to attend his Second P.U.

Examination and when he returned on the day of the examination at 12 Noon he found his motor *bike* was stolen by breaking open the steering lock. Then he filed a complaint to the police on the same day at 22.45 hours. Police have registered a case. Then he approached the Op on 26/03/2009 and informed them orally regarding *theft* of the vehicle by handing over the copy of the complaint and requested them to pay the insurance amount. The police have filed C-report. That his father was busy in his official work therefore, they made a claim to Op for paying insurance amount on 09/04/2008 but the Op on 13/04/2009 rejected his claim on the ground that *theft* of the vehicle was not reported within 48 hours of the occurrence and thereby alleging deficiency to the Op and claiming to had issued a legal notice, has prayed for a direction to Op to pay him Rs.57,539/- as insurance amount and also to award compensation of Rs.50,000/- with cost. Op has appeared through his advocate and filed version admitting that the stolen vehicle had insurance which was valid from 30/10/2008 to 29/10/2009 and stated that policy was issued subject to terms and conditions and any violation of the terms of the insurance policy will become null and void and in enforceable. It is further contended though the vehicle had been stolen on 25/03/2009 *theft* was not reported within 48 hours but intimated through a letter dated 09/04/2009 and therefore under the terms of the policy since *theft* was not reported within 48 hours they are not liable to pay insurance amount and they have justified their action in repudiating the claim. It is further contended by the Op that S. Krishnappa was holding only a license authorizing him to ride vehicle without gear. The vehicle in question was 180-CC motor *bike* therefore that Krishnappa was prohibited from riding the *bike* (Here the Op has misunderstood the facts by stating as if one Krishnappa has riding the *bike* but

that is not so Complainant was riding the *bike* and Krishnappa is his father). However, op has admitted the contempt that the complainant was riding the *bike* which had a valid license and therefore denying any deficiency in their service at their end has prayed for dismissal of the complaint. In the course of enquiry into the complaint, the complainant and Regional Manger of Op have filed their affidavit evidence reproducing the material facts as narrated in their complaint and version and of course, Op himself has got corrected by stating that complainant was not having a valid riders license to drive the *bike* . The complainant has produced copy of RC, complaint given by him to the concerned police on the date of *theft* , copy of FIR, copy of claim application, copy of *theft* information given by his father to Op on 09/04/2009, copy of repudiation letter with copy of legal notice he got issued to the Op and copy of reply that the Op given to that notice. Op has produced copy of the policy later on complainant has produced originals of the copies we have referred to above. We have heard the counsel for both parties and perused the records. On the above contentions, following points for determination arise. 1. Whether the complainant proves that the Op has caused deficiency in his service in repudiating the claim on the ground that *theft* information was not given within 48 hours of the occurrence. 2. To what relief the complainant is entitled to? Point No.1 : In the affirmative in part. Point No.2 : See the final order. Answer on point No.1: As we have gone through the material contentions of both parties, we have do not find any dispute between them with regard to this complainant and got his motor *bike* insured with Op and that vehicle had valid insurance as on 25/03/2009 on which date the *bike* was stolen away. The claim of the complainant is repudiated by the Op through his repudiation letter dated 13/04/2009 on the ground that *theft* was not reported to them within 48 hours of occurrence. Therefore, the claim is not payable. Therefore, the lis is only regarding the repudiation of the claim of the complainant and therefore, we shall come to the merits of the repudiation next. The complainant though in the complaint and affidavit evidence stated that after *theft* of the *bike* , on 26/03/2009 he had approached the Op and orally informed them about the *theft* and made a claim but has not substantiated such approach, intimation and claim.

However it is found that the father of the complainant on 09/04/2009 addressed a letter to the OP informing them about the *theft* of his sons *bike* and tried to explain about the cause for the delay in intimation of *theft* and requested the Ops to accept the belated intimation appolizing for the same and requested for settling his claim.

Therefore, it is evident that the complainant has not proved in he having in any way reported *theft* of the *bike* to the Op within 48 hours of its occurrence. On perusal of the condition of the policy one of the conditions reads as under. Claim for *theft* of vehicle not payable if *theft* is not reported to company within 48 hours of its occurrence. The Op taking shelter under this condition has refused to honour the claim of the complainant. In order to find out whether whole sale repudiation is just or not, we shall come to the other facts and circumstances of the case. It is found from the records that the complainant on the date of *theft* itself filed a complaint to the concerned police i.e on 25/03/2009 complaining about *theft* of his *bike* and to take necessary action. Thereafter the police submitted FIR to the concerned court took up the investigation and finally when they were

not able to trace the vehicle submitted C-Final report. The Op is not denying this process the complainant adopted and the fact of *theft* of the vehicle. The complainant has also not proved in he having had given intimation of *theft* to the Op prior to 09/04/2009. In this letter of complainants, father he has explained that he had held up in his official work could not intimate them in writing earlier. Therefore, appolozing for the delay requested to consider the claim. The complainant in his affidavit evidence has stated that he was not aware, that *theft* of vehicle was to be intimated to the company within 48 hours after *theft* . Therefore his father intimated the Op in this regard. But the Op it is found has not taken into consideration the reasons assigned by the complainant and his father with regard to delay of intimation of *theft* to the insurance company is warranted with a few to afford an opportunity to the insurance company to take up the issue of *theft* and make efforts at their end to ascertain the truth of the *theft* and the possibility of tracing the *bike* . Of course, that opportunity was denied to the Op within the reasonable time. Whether that delay in giving intimation of the *theft* should be taken as violation of the policy condition for denying the claim of the insured in its totality, when *theft* of the insured article and loss to the RC owner is other wise proved and established, denial of the claim of the complainant by the Ops for delay in our view defeats the object of insurance itself. Op has taken a further contention as if the complainant was not entitle to ride a motor *bike* of this type which is of 180 CC capacities and contended that complainant was holding license authorizing himself to ride the vehicle without gear. But the Op has not produced any such conditional license issued to the complainant. Even otherwise the nature of driving license issued to the complainant and his riding the *bike* which has 180 CC capacities has no nexus to the *theft* . Because if anything had happened to the *bike* insured while the complainant was riding it without a valid license and if a claim was made to reimburse the loss then Op could have taken that contention parking of the *bike* safely by the complainant and its *theft* later on is nothing to do with the nature of license issued to the complainant. Therefore, Op in our view is not justified in repudiating the claim of the complainant as whole. The complainant has claimed for payment of Rs.57,539/- as cost of the *bike* . No doubt as found from the copy of the insurance insured value of the vehicle is shown as Rs.57,539/- but the complainant himself when he gave a complaint to the police on 25/03/2009 has given approximate value of the *bike* as Rs.40,000/- probably that was the value as on the date of the *theft* . Thus the complainant cannot claim more than that. Having regard to the laches we have found on the part of the complainant in not reporting *theft* of the *bike* within the given time to the insurance company, we find it just to award compensation to the complainant on non- standard basis. As the result, we find that awarding compensation of Rs.30,000/- to the complainant would meet the ends of justice. Accordingly, we answer point No.1 in the affirmative and pass the following order. O R D E R Complaint is allowed. Op is directed to pay Rs.30,000/- to the complainant as part of reimbursement of insurance amount within 60 days from the date of this order failing which Op shall pay interest @ 9% p.a from the date of this order till payment. Parties are directed to bear their own cost under the circumstances of this case. Dictated to the Stenographer. Got it transcribed and corrected. Pronounced in the Open forum on this the 24th June 2010. **MEMBER MEMBER PRESIDENT**